SOLIDARITY ADVISORS PRIVATE LIMITED
SEBI Registration No: INP000004961


We are an independent, partner-centric Investment Management firm investing in Indian public equities.

TOPICS

About us	Performance history			
Overarching philosophy	Company selection	Approach to fair value estimation	Portfolio construction	Approach to selling
Right for you?	Fees and other expenses			

ABOUT US

About us	• Boutique Equities firm • ~2100 Cr AUM, ~120 families • Private, independent ownership (CIO and close friends) • Team incentivized as owners - 25% of PBT shared
Measure of success	• Aim to seek Alpha over BSE 500 TRI every rolling 5 years, with prudent risk taking

OUR GUIDING PRINCIPLES

1. Be mission driven. Profits with purpose. Invest as you would, not basis what will gather additional AUM.

2. Disciplined process that focuses exclusively on superior long-term outcomes. Resilience over speed. Always.

3. Use our edge – to be able to go where large funds cannot invest, select clients who are aligned with approach, 100% alignment of interests.

4. Treat clients like we would like to be treated. Radical transparency via Half yearly Letters and Calls.

5. Nurture a culture that has an obligation to dissent and call out mistakes. Compensate every employee like a co-owner.

CORE TEAM

Member	Title	CV	Time with Solidarity
Manish Gupta	Founder and CIO	MBA IIM Ahmedabad BCG (7 years)	12 years
Anirudh Shetty	Partner	CA, CFA (Level 3)	9 years
Naarah Pereira	Partner	BBA, MCOM	11 years
Don Thadeuse	COO	MBA, ex Quantum	2 years
Aman Thadani	Sr Analyst	CFA (Level 3)	5 years
Pratik Jain	Sr Analyst	MBA	5 years
Sanyam Shah	Analyst	CFA (Level 2)	2+ years
Zahra Patel	Analyst	CFA (Level 1)	1+ years

SCHEMES

All schemes have the same approach - "Ownership Mindset". Difference is the liquidity risk and access to funds

Scheme	Product	Launch date	Market cap range	Minimum ticket	Lock in	Exit load	Concentration	Status
Prudence	PMS	2016	1000 Cr upwards	5 Cr	No	Yes	15-22 positions	Open
Emerging Leader	PMS	2023	500 Cr to 10000 Cr	10 Cr	No	Yes	8-15 positions	Closed for new subscriptions at present
Micro Cap	AIF	2026	Predominantly 200 Cr to 3000 Cr	3 Cr (with staggered drawdowns)	5 yrs	N/A	12-20 positions	Closed for new subscriptions at present
Note: We will only accept capital if we are able to deploy 65% on Day 1								

PERFORMANCE HISTORY

Aggregate across all partner accounts								
Performance (in TWRR)	**1 Year**	**2 Year**	**3 Year**	**4 Year**	**5 Year**	**7 Year**	**10 Year**	**Since Inception^**
SOLIDARITY-PRUDENCE	24.1%	15.4%	17.1%	14.1%	10.8%	18.3%	17.0%	**17.5%**
BSE 500 TRI	-7.2%	-1.1%	9.9%	9.9%	8.7%	13.4%	12.5%	**13.4%**
^ From 11 MAY 2016 -Start date of scheme								

Aggregate across all partner accounts								
Performance (in TWRR)	**1 Year**	**2 Year**	**3 Year**	**4 Year**	**5 Year**	**7 Year**	**10 Year**	**Since Inception^**
SOLIDARITY-EMERGING LEADERS	37.2%	14.6%	17.6%	NA	NA	NA	NA	**17.3%**
BSE 500 TRI	-7.2%	-1.1%	9.9%	NA	NA	NA	NA	**12.2%**
^ From 26 APR 2023 -Start date of scheme								

Notes:

1. The performance data is based on TWRR as on Oct 31, 2026.
2. The performance data provided is net of all fees & expenses.
3. Performance data provided in the above table is not verified by SEBI or any other regulatory authority.
4. Past performances are not indicative of future performance.
5. Please click on this link for viewing our performance relative to other portfolio managers.
6. Please click here if you wish to onboard with us directly.

PRUDENCE: AGGREGATE PERFORMANCE ACROSS CLIENTS

Performance (in TWRR)	PRUDENCE	BSE 500 TRI	Out-performance
1 Year	24.1%	-7.2%	31.2%
2 Year	15.4%	-1.1%	16.5%
3 Year	17.1%	9.9%	7.1%
4 Year	14.1%	9.9%	4.2%
5 Year	10.8%	8.7%	2.1%
7 Year	18.3%	13.4%	4.9%
10 Year	17.0%	12.5%	4.5%
Since Inception^	17.5%	13.4%	4.1%

Notes:

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3. The performance shown is at the scheme level & is based on TWRR as on Oct 31, 2026.
4. Start date of the scheme is May 11, 2016
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TOPICS

About us	Performance history			
Overarching philosophy + edge	Company selection	Approach to fair value estimation	Portfolio construction	Approach to selling
Right for you?	Fees and other expenses			

THINGS INVESTORS SHOULD KNOW

There is no one right approach to invest – multiple paths exist

- Compounding works – great businesses at fair prices
- But deep value also works – “At the right price, everything is AAA”

The right approach for you is basis how you are wired and time horizons in which you think

Alpha creation is getting more difficult. Boutique firms have an edge as they have less pressure for deployment and can participate more meaningfully in micro caps.

The principal source of edge is behaviour – both clients and fund manager

- Sticking to some principles is the path to good outcomes
- Being flexible e.g. aggressive sector rotation works in theory, not in practice

Choose a fund manager whose approach you are aligned with - not the one with the best near-term results

- Align with process
- Look for skin in the game and whether approach to building the firm aligns with client interests

THERE ARE MULTIPLE APPROACHES TO INVEST IN EQUITIES

SOLIDARITY

Earnings compounding at a fair price	"At the right price, everything is "AAA".
Long term is 5- 10 years	Long term is 1 yr
Ownership mindset	Sector rotation – what works now

All choices have trade offs. There is no one right way

Be consistent with an approach, basis how you are wired.

SUMMARY: OWNERSHIP MINDSET

- Think in 5-10 year time horizons. Not what will work best now.
- Seek companies that can deliver 15%+ structural earnings compounding for long periods of time with low downside (high resilience in business model).
- Buy at a broadly favourable price.
- Never pursue imprudent risks to chase high returns.
- Patience – if core thesis is on track – but the stock price is not moving.
- Exit gradually when valuations get euphoric, or there is a fundamental break/ambiguity in investment thesis.

SUMMARY: HOW WE SEEK TO BUILD AN EDGE

Only sign-up clients aligned with approach. The scorecard can change quickly. Jittery clients can affect ability to think clearly.

Discipline to stick to process when conviction not reflecting in stock price performance

Courage to take positions significantly different from the Index

Embrace some illiquidity if upside compensates. Ensure clients understand this results in higher volatility (opportunity)

Culture that celebrates dissenting opinion and forces one to write so gaps in thesis are exposed early.

EDGE… COURAGE TO NOT MIRROR THE INDEX

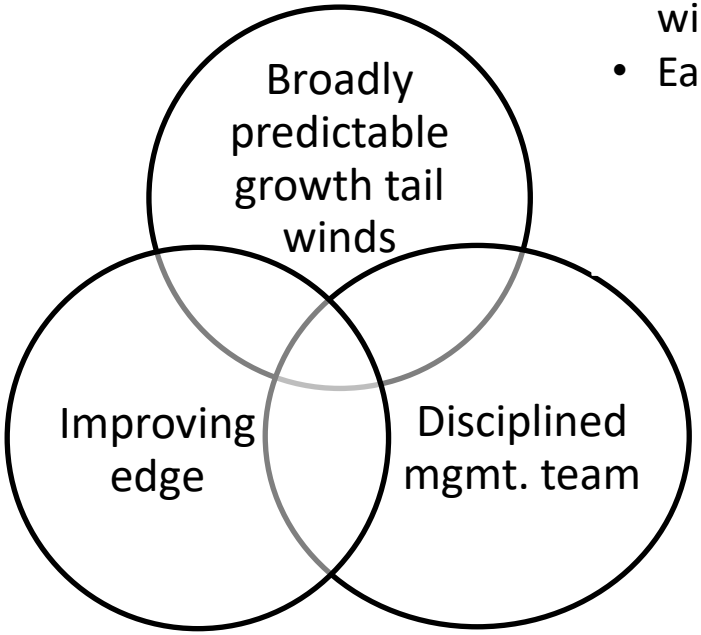
SECTORS	WEIGHTS (%)	
	NIFTY500	SAPL PRUDENCE
Capital Goods: Equipment/Consumables	7.4%	27.9%
Chemicals	2.0%	18.1%
Automobile & Auto Components	7.2%	14.4%
Financial Services	30.3%	11.2%
Consumer Services	3.5%	9.2%
Healthcare	6.9%	7.8%
Textiles	0.3%	2.4%
Information Technology	6.4%	1.5%
Energy, Commodities & Power	15.9%	
Consumer Durables & FMCG	8.4%	
Construction & Realty	5.9%	
Others	5.9%	
Cash, Liquid funds & Precious Metals	0.0%	7.1%

KEY ASPECTS OF OUR PROCESS

Buying decision	Is this a company we would like to own for long periods of time?
	What is its role in the portfolio? Stability (Dravid) or growth kicker (Rishabh)
	What is a broadly fair entry price for the quality and its stage of evolution?
	What is the right position size basis expected IRRs?
Sell decision	Hold, trim or sell?

CAN THIS COMPANY COMPOUND EARNINGS FOR LONG PERIODS OF TIME?

- Large addressable opportunity
- Industry with structural tail winds of growth
- Early on growth life cycle



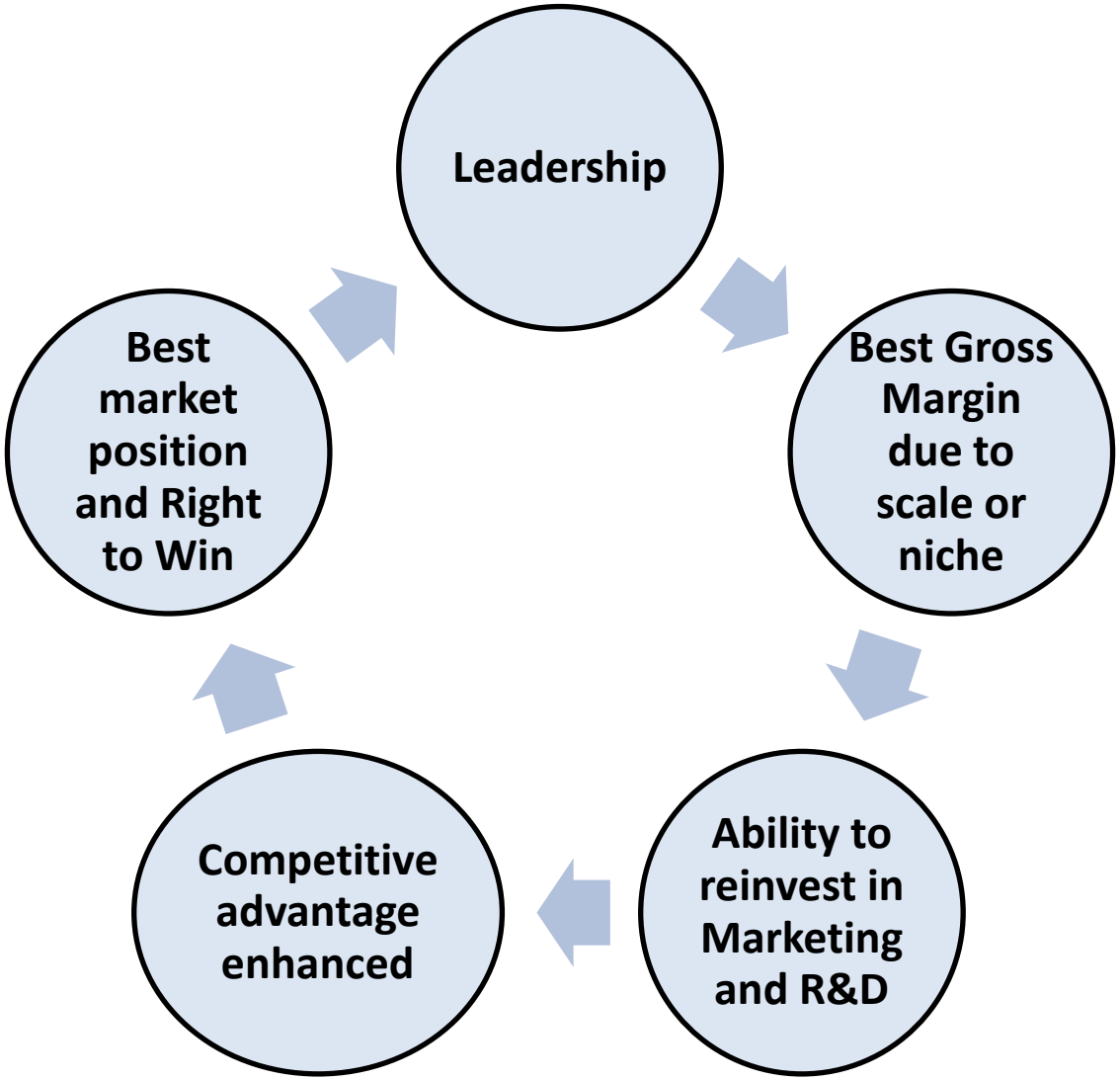
- Favourable industry structure
- Sector/niche Leadership
- Edge/competitive differentiation
- Ability to re-invest for growth (ROE > 15%)
- Better business today than yesterday

- Vision backed with granularity in thinking and “feet on the ground”
- Team depth beyond promoter
- Focus on few business lines
- Disciplined on Capital Allocation
- Prudent use of leverage

WE LOOK FOR COS. BENEFITTING FROM SECULAR TAIL WINDS OF GROWTH

	Secular decadal theme	Sub theme	Portfolio names
1	Opportunity to gain market share in global supply chains: Manufacturing/services	Precision engg.	RACL, Sansera
		Specialty chemicals	Kama, Yasho, Neogen
		Technical textiles	Garware Technical
		Industrials	Pix Transmission
		Capital goods	Mamata, Axtel
2	Growth with industry consolidation of market share in India	Banks	ICICI, HDFC
3	Greater deployment of financialization of savings in risk assets in India	AMCs/wealth mgmt.	
		Services to support AMCs	
4	Convenience	Quick commerce	
5	Digital business models and enablers of digital	Dental procurement	Vasa Denticity
		B2B services	India MART
6	Discretionary consumption- “Affordable luxury”	Packaged food/confectionary	Axtel
7	Clean energy transition	Battery chemicals	Neogen
		Wind castings	Synergy Green
8	Massive increase in grid electrification	Shunts, bimetals, contacts	Shivalik Bimetal
9	Explosive use of GLP 1 Drugs for weight Loss	Injectable devices	Shaily Engineering
10	Global surge in defence budgets	155 mm shells	GoodLuck

WE PREFER SECTOR LEADERS OR COS THAT DOMINATE A NICHE



RED LINES

- <18% ROE on steady state economics, 15% for Banks.
- Promising stories but where steady state economics are not clear
- Very attractive growth narrative but where entry valuations have no margin for error
- Companies that lack focus resulting in mediocre positions in many business lines
- Company with historical governance decisions that have impacted minority shareholders
- Companies very cheap but where we are not aligned with how promoters are building the business, or lack compounding
- High Debt burdens which threaten Equity holders interests

KEY ASPECTS OF OUR PROCESS

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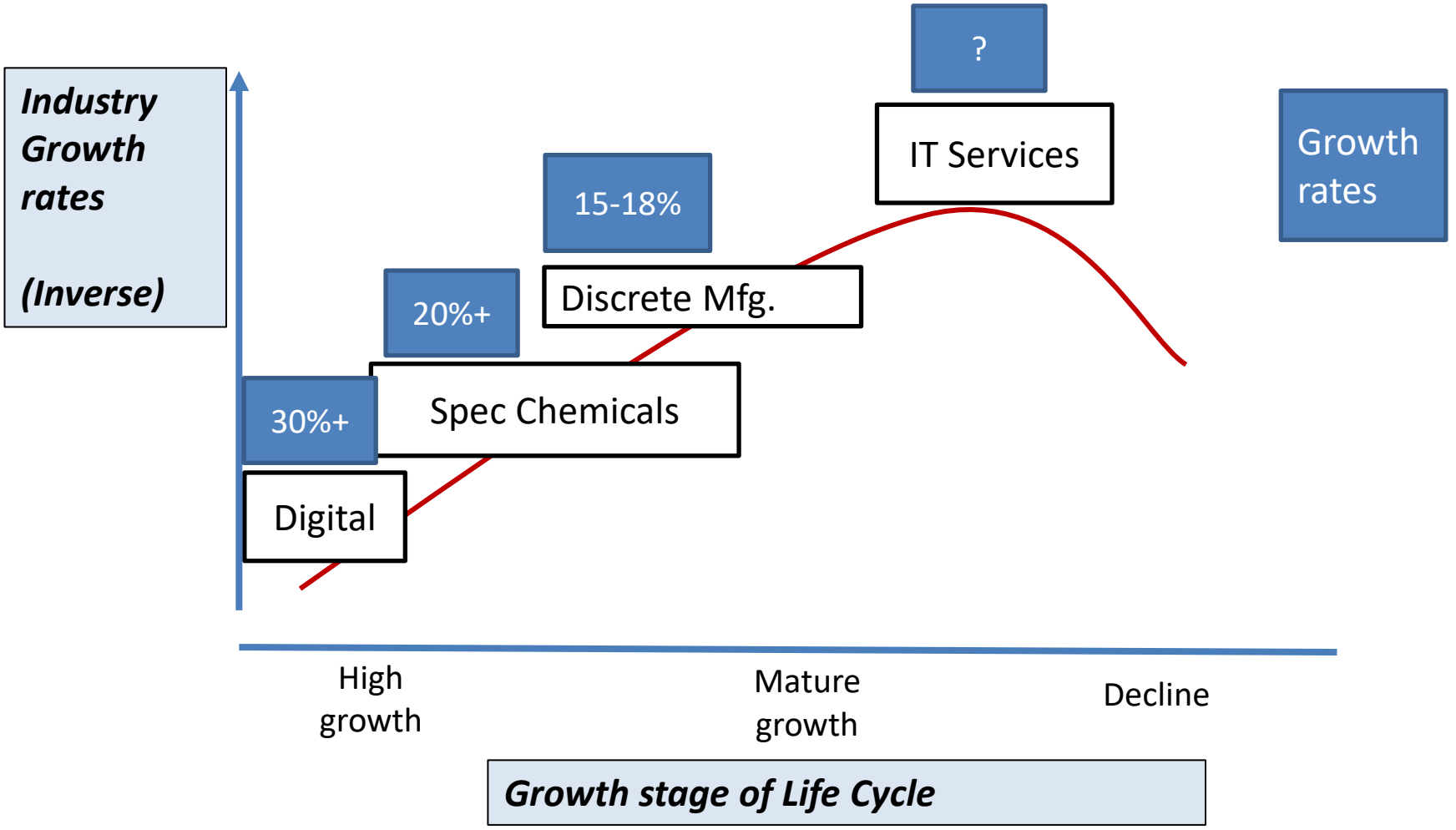
PORTFOLIO DESIGN: BALANCE STABILITY AND HIGH GROWTH

Growth with Stability	Growth with Longevity	Growth with potential Asymmetric upsides
• Leader, but more mature in growth life cycle • Strong market position • Robust business model and Balance Sheet • Stable earnings growth	• Leader in growing market • Early in growth life cycle • Strong prospects for earnings growth	• Untracked companies with low liquidity • Large opportunity + great leadership • Potential for exponential earnings growth
• 15% IRRs, high probability	• 18-20% IRRs, long periods of time, medium probability	• 20-25%+IRRs, medium probability

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FAIR VALUE DEPENDS ON STAGE OF GROWTH LIFE CYCLE + ROE



Source: Solidarity

HIGH VALUATION MULTIPLE CAN BE JUSTIFIED FOR COMPANIES VERY EARLY IN LIFE CYCLE

Basic thumb rule: approx fair 1 Yr Fwd PE		ROE								Cost of Equity 12%
		10%	12%	15%	20%	25%	30%	35%	40%	
Earnings growth for first 5 years	0%	8	8	9	9	9	10	10	10	
	10%	5	8	11	13	15	16	17	17	
	15%	3	8	12	17	20	21	23	24	
	20%	0	7	15	22	26	29	32	33	
	25%	-5	7	18	30	37	41	45	47	
	30%	-12	6	23	41	51	58	63	67	
	40%	-37	2	40	79	102	117	128	137	

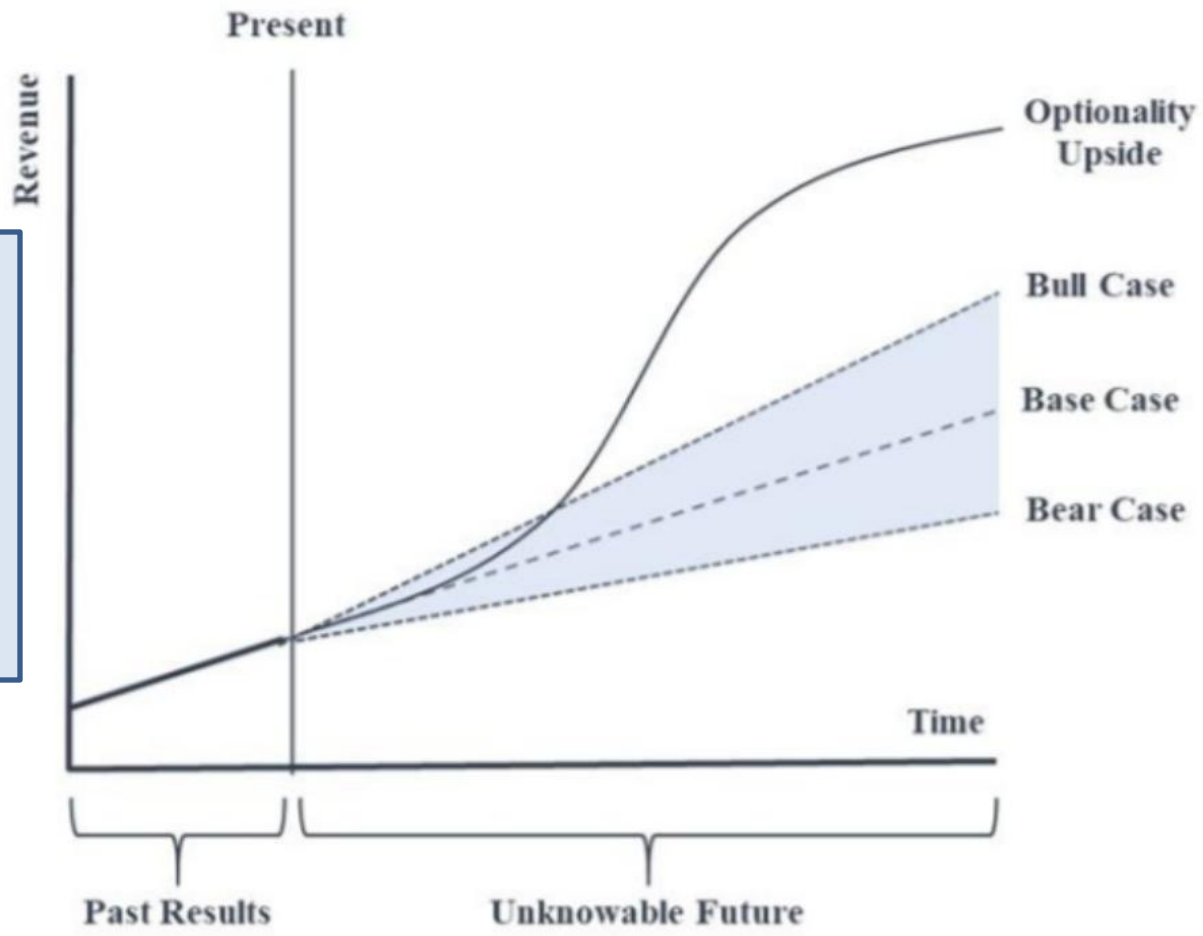
Very few companies can compound earnings at 25% CAGR for long periods at 25%+ ROE.

Hence, paying >40x normalized PE is a rare exception for us.

However, quality is seldom cheap. Hence, nuance is critical.

DOES THE COMPANY HAVE OPTION VALUE?

DCF has limitations

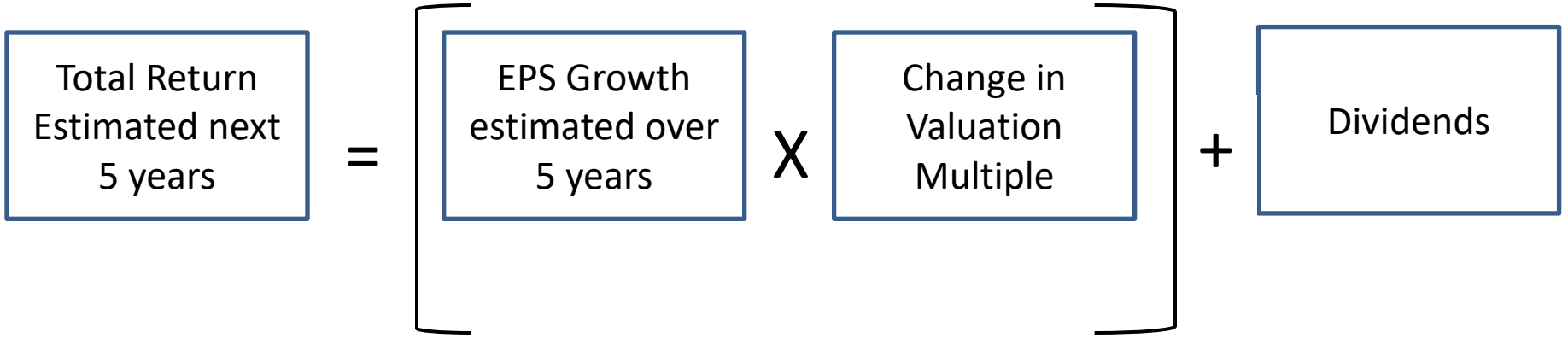


Source: ShawSpring Partners

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POSITION SIZING: MATHS + JUDGEMENT



Can we see a path to 15-25% IRR over 5-10 years?

Is there visible Option value of new business lines that are hard to model/quantify?

Will the market give us the liquidity to exit when we choose to?

Which decile would we grade these promoters?

Are earnings back ended ?

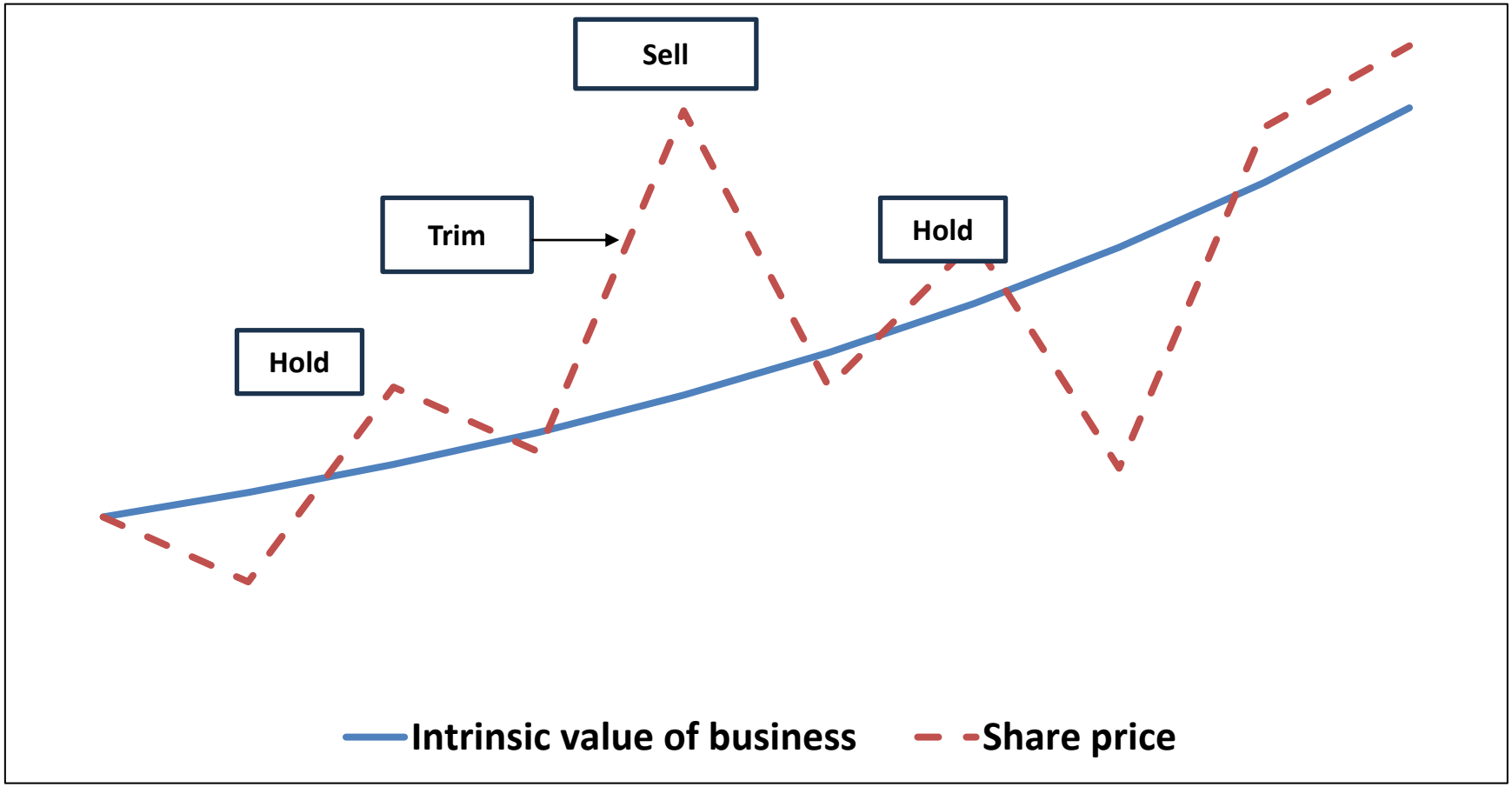
POSITION SIZING: WHERE IS THE COMPANY ON ITS EVOLUTION ?
Prudence

	Early →			**Very evolved**
Stage of company evolution	Promise. But no clear edge	Deepening foundations Widening the moat	De-risked business model Depth in leadership Resilience	Flywheel starts spinning.
Good liquidity	4-5%	5-6%	6-8%	10-12%
Poor liquidity	3%	4%	4-6%	8%

KEY ASPECTS OF OUR PROCESS

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BIAS TO NOT EXIT QUICKLY AND RIDE WINNERS. WE TOLERATE SLIGHT OVERVALUATION FOR OUR COMPOUNDERS



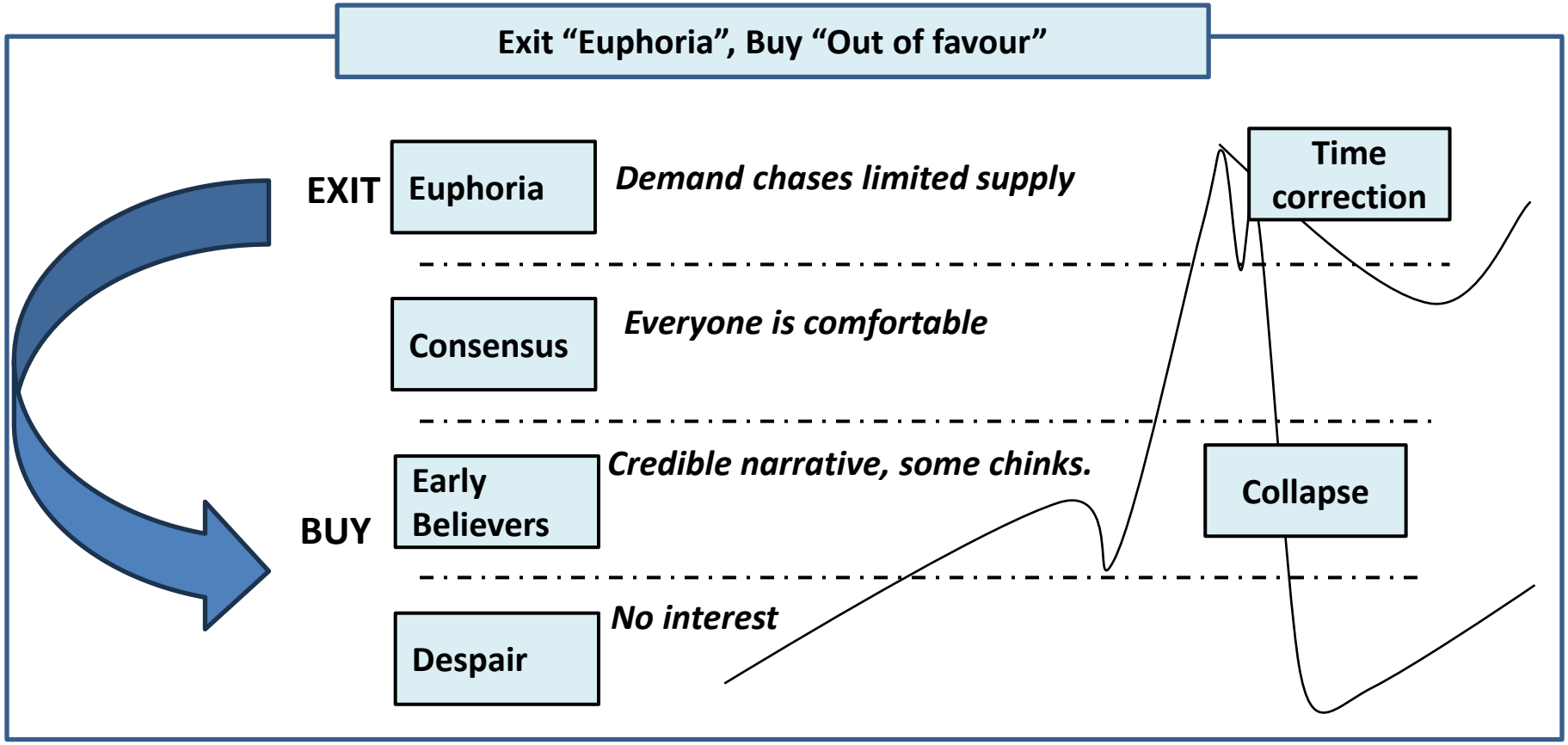
Source: Solidarity

RISK MANAGEMENT: ONE SHOULD EXIT ON VALUATION EXCESSES



Source: Google

TRIM IF VALUATIONS EUPHORIC AND ONE CAN RE-ALLOCATE



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Right for you?	Fees and other expenses			

SUMMARY APPROACH

- Quality: *Ensures survival. Ensures we don't panic during market dislocations.*
- Time. *Think 5-10 years, not 1-3 years*
- Concentration. *15-22 best ideas*
- Valuation. *Price paid matters. However, for companies at inflection points, fair value is hard to determine. Don't be greedy for the first 3% weight.*
- Conviction. *Have courage to stray far from the Index*
- Use size to advantage. *Be willing to embrace some illiquidity*
- Discipline. *Stay true to process when things not working. Trust in mean reversion.*
- Exit*: No foolish loyalty, but high bar for churn due to valuations. No ego if we are wrong.*

FEE OPTIONS - PRUDENCE SCHEME

Principal infused		5 to 10 Cr	10 to 25 Cr	25 to 50 Cr	> 50 Cr
Fixed	On NAV	2%	1.75%	1.5%	1.25%
Semi Variable (profit share drawn after 3 yrs.)	Fixed fee on NAV	1%	1%	1%	1%
	Hurdle rate pre tax	12%	12%	12%	12%
	Profit share above hurdle rate	20%	17.5%	15%	12%
Variable (profit share drawn after 3 yrs.)	Fixed fee	0%	0%	0%	0%
	Hurdle rate pre-tax	8%	8%	8%	8%
	Profit share above hurdle rate	20%	20%	20%	17%

Brokerage/GST/Incidental charges levied by the Custodian are at actuals.
Additional 1bps for Custody & Fund accounting; Exit loads apply
Fixed fee is calculated on the basis of daily average AUM & charged quarterly.
Please refer to the appendix for a detailed note on performance fees.

APPENDIX

- Our billing cycle for performance fee is every three years for partners invested in the Prudence scheme & every five years for partners invested in the Emerging Leaders scheme.
- For clients invested in the **Prudence scheme** on a **fully variable fee**, a performance fee is charged **only if the portfolio return exceeds the hurdle rate over the cycle**.
- For clients in the **Prudence scheme** on a **semi-variable fee**, the performance fee is applicable **if both the hurdle rate and the benchmark are exceeded** during the cycle.
- For clients invested in the Emerging Leaders scheme on a **semi-variable fee**, a performance fee is charged **if returns exceed both the hurdle rate and the benchmark** over the cycle. The **Emerging Leaders** scheme is currently closed for new subscriptions.
- Additionally, for clients invested in either scheme with a performance fee component in their fee structure, a performance fee will be levied upon termination of the agreement, provided the portfolio return exceeds the hurdle rate.

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